Public Economics Tutorial Questions, Michaelmas Term 2026

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General Guidance

Please treat particularly recommended reading as guidance for where to *begin / prioritise* reading from the departmental reading list in order to approach the tutorial essay, rather than a specification of everything you could or should read for that topic. Please write an essay of between 1500 and 2000 words each week, using models, diagrams and mathematics (generally speaking the mathematics you use should not be more complex than you would be able to reproduce under exam conditions) as well as citations for any empirical evidence utilised in your argument. Please hand in written work electronically by email (**please use pdf format**) by 9am on the day of the tutorial.

Week 1 - Cost-benefit analysis

Particularly recommended reading

Connolly and Munro
Hindriks and Myles
“Contingent valuation: Is some number better than no number?”
“The Numeraire Matters in Cost-Benefit Analysis”

Essay question

"Cost-benefit analysis is a good idea in principle, but it is almost impossible to apply in practice to any important social decision." Discuss, with examples.

Week 2 - Commodity Taxation

Particularly recommended reading

"Optimal Taxation as a Guide to Policy: a Survey"
"The Theory of Optimal Commodity and Income Taxation: An Introduction"
Atkinson and Stiglitz Lectures
Hindriks and Myles
Myles

Essay question

“Commodity taxes should be inversely proportional to demand elasticities.” “Commodity taxes should be higher for goods that are complementary with leisure.” “Commodity taxes should be lower for goods consumed by the poor.” Are these statements true? If so, how can they be reconciled?

Week 3 - Income Taxation and Labour Supply

Particularly recommended reading

Atkinson and Stiglitz Lectures
Hindriks and Myles
Myles
Connolly and Munro
"Optimal Taxation as a Guide to Policy: a Survey"
"Means-Testing and Tax Rates on Earnings" - *(Provides a recent empirical application of the Mirlees model to the UK income tax system and the appendix provides a clear technical derivation of the Mirlees model.)*

Essay question

"Theory suggests that the marginal rate of income tax should be low both at the bottom and at the top of the income distribution, and higher in between. In practice, the marginal rate of the combined tax/benefit system displays the reverse pattern." Discuss.

Week 4 – Principles of Government Intervention and Limitations

Particularly recommended reading

Gravelle and Rees
“Tax Avoidance, Evasion and Administration"

Mini-essay questions (750-1000 words for each question)

1. To what extent do results from the theory of the second best depend on the assumption of interdependence of markets?

2. Countries typically employ many different taxes to raise tax revenue. Is it possible that the optimal mix of the personal income tax, consumption taxes and the corporate income tax could differ between two countries where one has full compliance on all taxes (for some reason), while the other has large problems with non-compliance? Discuss.

Week 5 - Health Care

Particularly recommended reading

Barr
Connolly and Munro
“The Doctor as Double Agent: Information Asymmetry, Health Insurance and Medical Care”
"The Labour Government and the National Health Service"
“Competition and quality: evidence from the NHS internal market 1991-1996"
“Free to Choose? Reform, Choice, and Consideration Sets in the English National Health Service"

Gaynor, Martin, Rodrigo Moreno-Serra, and Carol Propper. (2013). "Death by Market Power: Reform, Competition, and Patient Outcomes in the National Health Service." *American Economic Journal: Economic Policy*, 5(4): 134-66. - *(Empirical paper not on the departmental reading list.)*

Essay question

Would it be desirable to increase competition between healthcare providers? Should a distinction be made between primary and secondary care?

Week 6 - Pensions

Particularly recommended reading

Barr
Connolly and Munro
Hindriks and Myles
Myles
"The Economics of Pensions"

Essay question

What are the advantages, if any, of pay-as-you-go (PAYG) pensions over fully funded ones?

Week 7 - Education

Particularly recommended reading

Barr
Connolly and Munro
"Competition, Choice and Pupil Achievement"
“Does Competition Among Public Schools Benefit Students and Taxpayers?”
"The Assessment: Education"
"Higher Education Funding"
"Funding Higher Education in the UK"

Tiebout, Charles M. (1956). A pure theory of local expenditures. *Journal of Political Economy,* 64 (October): 416-424. *(The original Tiebout paper is useful on the Tiebout Theorem.)*

Rothstein, Jesse, M. (2006). "Good Principals or Good Peers? Parental Valuation of School Characteristics, Tiebout Equilibrium, and the Incentive Effects of Competition among Jurisdictions." *American Economic Review,* 96(4): 1333-1350. *(Useful paper – not on departmental reading list.)*

Essay question

“The state should fund and organize high school education but not higher education.” Discuss using theoretical and empirical arguments.

Week 8 – Welfare Reform and Inequality

Particularly recommended reading

Barr
“Universal Basic Income in the US and Advanced Countries”
“Welfare to work: which policies work and why"

Mini-essay questions (750-1000 words for each question)

1. The government is concerned about the rise in part-time work and wants to put incentives into the tax schedule to encourage more full-time work. Its proposal is to give anyone working over 30 hours a week a tax credit of £ 200 per week, which is withdrawn at the rate of 30% when annual earned income rises above £ 20,000. (a) How successful is this policy likely to be for different groups in society? (b) Should the amount of tax credit awarded be reassessed each month or each year?

2. Can a universal basic income avoid the poverty traps often associated with welfare provision, and at the same time alleviate poverty for those in need?
